Assignment 2: Market Analysis

Faculty of Engineering and IT

UTS CRICOS 00099F

Assignment 2: Market Analysis

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Assignment Overview

In this assignment, you need to investigate a market of your choice (preferably continue from Assignment 1) and identify several companies within that market. List several competitors that your new venture will need to contend with as competitors.

Next, you will explain the core business process of the existing companies in the market, as a baseline of what you will need to do as a new entrant. Your ideas and innovations on this process will be explored further in Assignment 3.

Using Porter's five forces model, explain the attractiveness and challenges of the selected market. Expand on this by drawing a Causal Loop Diagram (CLD) that identifies additional variables and forces relevant to this market.

Finally, explain the Value Proposition for your idea and how you can differentiate from the current offerings in the market.

Weighting:

25% Report Tasks

15% Live Journal and Reference Requirements

Tasks for the Report

NOTE: Once the marks are released, check Turnitin feedback studio for the breakdown of marks and comments.

Tasks	Description	Word limit / Guideline	Marks
1	Explore the chosen market from the first assignment and describe clearly what that market entails. Provide relevant definitions. Identify several existing businesses competing in this market.	100 – 150 words	2
2	Explain the core business process (i.e. value/utility creation) for a *typical* company in the chosen market. You must include a process diagram here (see live document requirements). In the diagram, outline the steps to show what the business does for its customers. Provide evidence; only use assumptions for filling in gaps in the model.	150 – 250 words + Diagram	6
3	Explain Porter's five forces for the chosen market. Give some relevant examples to support your arguments.	300 – 500 words	6
4	Enumerate additional variables that are important to explain the dynamics and supply/demand relationships in your specific market. Provide evidence to back up your arguments. Draw a Causal Loop Diagram to show your understanding of the chosen market as a system. You can choose to include Porter's 5 forces as variables in your diagram, or model a different facet of the system. *Tip: The 'Scribble' line type is useful for freeform curves.*	150 – 250 words + Diagram	7
5	Find some evidence of the current expectations of customers in the market (Voice of the Customer). What unique Value Proposition can you organise your new venture around in order to attract customers?	200 – 300 words	4

Note: Tables and diagrams or pictures are not counted towards the word limit.

UTS Marking Schema	
HD	Work of outstanding quality on all objectives
D	Work of superior quality on all objectives
C	Work of good quality showing more than satisfactory achievement on all objectives
P	Work showing a satisfactory achievement on all objectives
X	Work showing an unsatisfactory achievement on one or more objectives

Marking Criteria

PASS	DISTINCTION*
1. Market Description	
• One specific market chosen and clearly defined • Examples of competing products/services in the market	+ Support with authoritative industry literature
2. Core Process of Value Creation	
• Clearly identify what core value/utility the business creates for customers in the chosen market (i.e. what the customers pay for). • Explanation of the business process of how that utility is created/consumed. • An appropriate process diagram.	+ Specific details of how either the product is produced or how customers interact with the service. + Supported with evidence from relevant sources. + Diagram detail, syntax and logic.
3. Porter's Five Forces in the Market	
• Cogent discussion of all five forces for the chosen market. • Articulate relevant examples.	+ Present a strong argument about which force is the most important for this market. + Support with authoritative industry and academic literature.
4. System of Market Forces	
• Some relevant additional variables identified for the market. • An appropriate Causal Loop Diagram, with consistent +/- or S/O notation.	+ Cogent explanation for the additional variables. + Supported with relevant sources. + Variable names are suitable for CLD. + Diagram detail, syntax and logic.
5. Value Proposition	
• The expectations of customers in the current market are identified and plausible. • Succinct statement of how the proposed business will be differentiated from the competitors currently operating in the market.	+ Explain how value/utility is defined by customers for this particular product/service ("Voice of the Customer"). + Supported with relevant sources. + Sound argumentation for why the stated Value Proposition would be appealing to the market.

* For Credit and above grades it is expected that all pass requirements are met. Additionally a higher level of quality is expected in regards to writing, referencing and argumentation.

Live Journal and Reference Requirements

Requirement	Description	Marks
R1	Live Document: Report	5
R2	Live Document: Process Diagram	2.5
R3	Live Document: Causal Loop Diagram	2.5
R4	Referencing Quality	5

Marking Criteria

R1: Evidence of live document being used to draft and revise the report, with suitable milestones = 100%

R2: Evidence of live document being used to draft and revise the diagram = 100%

R3: Evidence of live document being used to draft and revise the diagram = 100%

R4: Mark based on a QUALITATIVE assessment of the referencing in the report

Note: If there are concerns raised about the authenticity of your work when assessing these requirements, the release of your marks may be delayed until the concerns are fully investigated.

Live Journal Files

In addition to the final copy of your report, we will examine the **edit history** of each task, to see the progress you had made in writing the report and drawing the diagrams.

To facilitate this, Google Drive files will be shared with you. These files must contain the history of all your work on the report and diagrams - **do not just copy over your final version from other editing software!**

Procedure

1. The relevant Google Drive files will be shared with your student account upon the commencement of Assignment 2.

   The text document will be populated with a template for your report.

   If you cannot access or edit the files, contact the subject coordinator before starting work on the assignment.

2. You must use these files from the very first point you start making notes for the assignment, through to the final edit. This may include taking notes in class or jotting down some points to develop for each task.
3. As you update the files, the version history will be saved automatically, however, you can name specific versions to note your progress and intent.

   For example, you might include as labelled versions:

   a. "Initial Notes" - with bullet points for each task
   b. "Research" - notes added for relevant references
   c. "First Draft" - initial writeup of the report
   d. "Second Draft" - developed/changed arguments
   e. "Final Draft" - content ready for final proofreading/editing
4. When you are finished:
   a. Export the final diagrams as image files.
   b. Insert the diagram images into the report.
   c. Export the report as a PDF.
   d. Submit the report via Turnitin on Canvas.

Referencing Requirements

Adding a citation to your report carries with it an implied assurance that you have in fact read a substantive portion of the source being referenced. If you did not take the time to read the sources, then do not reference them!

If you actively participate in class, follow the assignment instructions and carefully complete each task, you can plausibly achieve a Pass (50%) mark without references. To achieve higher marks, it is expected that you spend some time reading and integrating appropriate sources in your report.

General Instructions

In this assignment you are expected to *engage* with the sources you reference. On its own, the reference list is merely a Bibliography. Likewise just dropping in citations in the style of a Literature Review is not appropriate for the report.

First, it is necessary that you familiarise yourself with the source. Use a highlighter, write some notes, and take the time to understand why the article was written and how its authors reached the conclusions they presented. If you disagree with them or see flaws in their methodology, try to find another reference to contrast against in your writing.

You then need to integrate each reference into the body of your report to either provide definitions, support your arguments (e.g. for the Porters Five Forces task), or introduce evidence of a phenomenon you are claiming occurs (e.g. for the Process Diagram task).

Rather than dropping in citations as an afterthought, it is necessary to show evidence that you have familiarised yourself with the sources and used them to inform your arguments. Demonstrating your awareness of how the conclusions of your cited source were reached (i.e. the data sources and methods) also helps to give you a good idea of how strong the evidence you are presenting is. Briefly characterising the source being cited should not take much more than five extra words, but really helps to communicate to the reader why you see it as relevant evidence.

Reference List

For each document cited in your report, you must include 3 or 4 following items (this means 1 or 2 pages):

1. APA-style reference in alphabetical order.
    a. For books, include place of publication.
2. A copy of the first page of the chapter/paper being referenced, showing a summary or abstract, followed by a page-break.
    a. For 1 page documents, social media posts, etc., skip this as it would be duplicated in #4
    b. For references of simple facts (e.g. product listings, prices, etc.), skip this also.
    c. For multimedia files such as videos, include a screenshot of relevant metadata such as the channel, author, video description, etc.
3. A short statement of the type of evidence and data-collection method of the article being referenced.
    a. This may be as little as 1 word, e.g. “Survey”, or perhaps a short sentence.
4. A copy of one relevant page of the source with the methodology statement (or simple fact) highlighted, followed by a page-break. Rather than merely parroting the source’s conclusion, consider how they reached that conclusion.
    a. If, for example, you’re citing a survey, highlight a clear statement indicating who was surveyed, how the sample was identified, how big the sample was, etc.
    b. If you are citing Voice of the Customer data, show whether they are writing from their own personal experience with a product, or perhaps a family member’s experience, etc.
    c. If you are citing a definition, consider whether your source is just asserting it (are they an authority on the topic?) or whether perhaps the definition emerges from their literature review.
    d. If the relevant statement spans across a page boundary in the original document (e.g. what occurs in the article chosen for the example below), you can copy the relevant *part* of the document, so long as one of the page numbers can be seen.

Example reference list item as 2 pages with the above 4 components:

Zobnina, M., & Rozhkov, A. (2018). Listening to the voice of the customer in the hospitality industry: Kano model application. *Worldwide Hospitality and Tourism Themes*, *10*(4), 436-448.

The current issue and full text archive of this journal is available on Emerald Insight at:
www.emeraldinsight.com/1755-4217.htm

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10,4

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Listening to the voice of the customer in the hospitality industry: Kano model application

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Abstract

Purpose – This paper aims to discuss the customer satisfaction drivers of Russian tourists choosing hotels in Europe.

Design/methodology/approach – The study is focused on tangible aspects of the hotel service product adopted from the European Hotel Guest Satisfaction Index by J.D. Power. Research methodology is based on the Kano model that enables satisfaction driver classification based on the level of their impact. Data collection was conducted via online panel representative for 1 million+ Russian cities, totaling 1,238 respondents.

Findings – This paper reveals groups of customer satisfaction drivers by their impact from attractive to expected and indifferent, as well as customer preference profile by age, overall travel experience and trip purpose (recreational, sightseeing or active tourism).

Research limitations/implications – This paper focuses on the tangible attributes of hotel experience; the survey sample composed of Russian tourists that evaluated their satisfaction with hotels in Europe.

Practical implications – As a result of the study, the authors test Kano model application in the hospitality and tourism industry, providing hotel managers with an advanced yet easy to use customer satisfaction measurement tool. Also, the authors demonstrate substantial differences in customer satisfaction drivers by groups that can be used to plan product development. "Expected" and "one-dimensional" groups of product features would cause customer dissatisfaction if missing and should be the first priority of management. Interestingly after a certain level, "expected" factors have no marginal value, so their improvement by the hotel management should be limited. On the other hand, "attractive" factors boost customer satisfaction while present but with no negative impact if they are absent; that makes this group the second priority for hotel management. Factor distribution by group is different for various customer segments that can also be taken into consideration when designing the marketing communications of a hotel.

Originality/value – In this research, the authors use the Kano model to identify customer satisfaction drivers in the hospitality and tourism industry. This methodology enables in-depth analysis of the factors' impact and provides understanding of the accommodation product improvement potential based on customer perception. The authors suggest several groups of factors and demonstrate that certain high-impact satisfaction drivers have zero incremental value for customers.

Keywords Russia, Customer satisfaction, Tourism, Kano model, Online survey

Paper type Research paper

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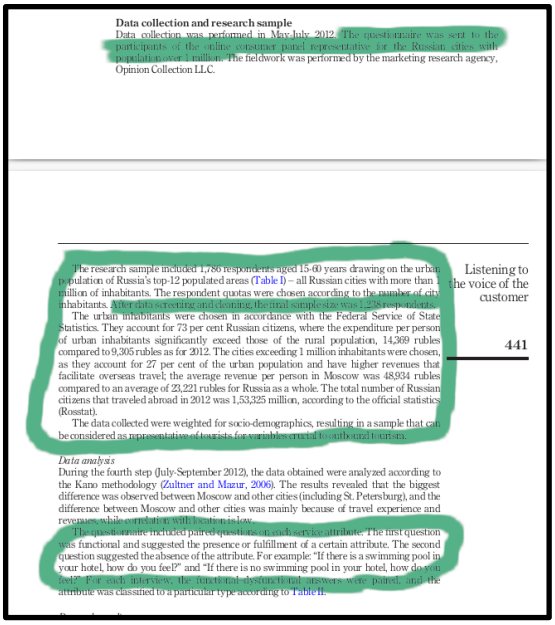
Introduction

Customers have different social, cultural and economic backgrounds that define their expectations and needs and that in turn affect customer choice and satisfaction or dissatisfaction levels. In the hospitality and tourism industry, even the smallest details in

Type: Questionnaire/Survey



Data collection and research sample

Data collection was performed in May-July 2012. The questionnaire was sent to the participants of the online consumer panel representative for the Russian cities with population over 1 million. The fieldwork was performed by the marketing research agency, Opinion Collection LLC.

The research sample included 1,786 respondents aged 15-60 years drawing on the urban population of Russia's top-12 populated areas (Table I) – all Russian cities with more than 1 million of inhabitants. The respondent quotas were chosen according to the number of city inhabitants. After data screening and cleaning, the final sample size was 1,238 respondents.

The urban inhabitants were chosen in accordance with the Federal Service of State Statistics. They account for 73 per cent Russian citizens, where the expenditure per person of urban inhabitants significantly exceed those of the rural population, 14,369 rubles compared to 9,305 rubles as for 2012. The cities exceeding 1 million inhabitants were chosen, as they account for 27 per cent of the urban population and have higher revenues that facilitate overseas travel; the average revenue per person in Moscow was 48,934 rubles compared to an average of 23,221 rubles for Russia as a whole. The total number of Russian citizens that traveled abroad in 2012 was 1,53,325 million, according to the official statistics (Rosstat).

The data collected were weighted for socio-demographics, resulting in a sample that can be considered as representative of tourists for variables crucial for analysis in Russia.

Data analysis

During the fourth step (July-September 2012), the data obtained were analyzed according to the Kano methodology (Zultner and Mazur, 2006). The results revealed that the biggest difference was observed between Moscow and other cities (including St. Petersburg), and the difference between Moscow and other cities was mainly because of travel experience and revenues, while correlation with age was low.

The questionnaire included paired questions on each service attribute. The first question was functional and suggested the presence or fulfillment of a certain attribute. The second question suggested the absence of the attribute. For example: "If there is a swimming pool in your hotel, how do you feel?" and "If there is no swimming pool in your hotel, how do you feel?" For each interview, the functional-dysfunctional answers were paired, and the attribute was classified to a particular type according to Table II.

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In-Text Citations

Include page numbers for quotes, as well as citations from books or other long documents.

Your citations should demonstrate some level of engagement with the literature. For example:

- GOOD:
  - It has been said that "the sky is blue" (Smith 2010, p.10).
  - Smith (2010) expressed their opinion that the sky is blue.
  - Smith (2010) surveyed 102 students, 98% of whom indicated that they believe the sky is blue.
  - Smith (2010) performed a series of measurements with a spectrometer to confirm that the sky is in fact blue.
- BAD:
  - The sky is blue (Smith 2010).
  - Do not merely sprinkle citations at the ends of sentences or worse, paragraphs. In this case you're telling the reader nothing about Smith (2010), and in a longer sentence it is impossible to differentiate between what part is your argument and what part is corroborated by the source and how.

Note: If your report predominantly uses weak citations (sources merely dropped in at the end of a sentence/paragraph), they will be ignored for marking purposes, and in some cases you may be asked to demonstrate your knowledge of the cited sources.

Marking Guidelines (Live Document and References)

PASS	CREDIT / DISTINCTION / HIGH DISTINCTION*
Live Document	
• Using live document template for this assignment including diagrams • Start working on before the due date	+ Evidence of multiple revisions and edits to show good progress + Support with the labelled versions.

PASS	CREDIT / DISTINCTION / HIGH DISTINCTION*
Referencing Quality	
• Following the structured referencing format, including two images per reference. • One or more references cited for each task.	+ Correctly identifying the methodology of the referenced articles. + In-text citations engage with the references to demonstrate your understanding.